

Cemindia Projects Ltd

CEMPRO | Civil Construction / EPC | Industrials

Report Date: 14 May 2026 | Data Source: Screener.in (Consolidated, 14-May-2026) | Chartitude Research Desk

RATING

ACCUMULATED

12-Month Target

Rs. 1,100

Upside: 18.8% | CMP: Rs. 926

Horizon: 12 months

CMP (14 May 2026)	Rs. 926
Market Cap	Rs. 15,924 Cr
52-Week High / Low	Rs. 983 / Rs. 481
Stock P/E (FY26A)	26.6x
Forward P/E (FY27E)	22.7x
P / Book Value	6.61x
EPS FY26A	Rs. 34.79
EPS FY27E	Rs. 40.76
Book Value / Share	Rs. 140
ROCE (FY26)	33.8%
ROE (FY26)	28.2%
Net D/E (FY26)	0.18x
Dividend Yield	0.22%
Face Value	Rs. 1.00
NSE / BSE Code	CEMPRO / 509496

INVESTMENT THESIS

Record Rs. 29,000 Cr order book (2.9x TTM revenue) + structural tunneling/marine moat = 20-25% earnings CAGR visibility through FY28E.

10Y Sales CAGR	13%	5Y Profit CAGR	113%
FY26 Order Book	Rs. 24,545 Cr	FY26 Order Inflows	Rs. 14,821 Cr
FY27E Rev Growth	20-25% (guided)	FY27E Capex	Rs. 350-400 Cr
Promoter Holding	67.46% (Mar 2026)	Promoter Pledge	NIL

All financial data sourced from Screener.in (consolidated view, 14-May-2026). Forward estimates (E) are analyst projections. Not investment advice.

SECTION 2 — INVESTMENT THESIS

- **Record order book = 3-year earnings visibility:** Cemindia's Rs. 24,545 Cr order book and Rs. 29,000 Cr work-in-hand (incl. L1 + April wins) represent 2.4-2.9x FY26 revenues, providing clear visibility for 20-25% revenue CAGR through FY28E without needing any new order wins.
- **Structural tunneling and maritime moat:** The company's TBM fleet and 90-year track record in underground metro and marine structures limit direct competition to fewer than 4-5 players nationally. These segments carry Rs. 1-lakh-Cr-plus market opportunities each over the next 5 years, driven by metro expansion to 50+ cities and Sagarmala port development.
- **Operating leverage will drive 22%+ EPS CAGR:** With EBITDA margins recovering from 8% (FY22) to 10% (FY26), and operating leverage on a doubling revenue base, sustainable margins of 10.5% in FY27-28E will translate to PAT CAGR of ~22%, supporting EPS growth from Rs. 34.79 (FY26A) to Rs. 51.63E (FY28E).
- **Near-term catalyst (0-12 months):** FY27Q1 (June 2026) results will be the first unambiguous proof point of 20%+ revenue growth on a clean base. Additionally, the board meeting on 14-May-2026 is expected to announce a dividend — a positive signal for post-acquisition shareholder returns.
- **Key structural risk:** Ambitious FY27 order inflow target of Rs. 25,000 Cr (3.5x historical average) — if government project awards slow, this could compress growth trajectory and require a P/E de-rating.

SECTION 3 — BUSINESS OVERVIEW

- **Company profile:** Cemindia Projects Ltd (formerly ITD Cementation India Ltd; rebranded August 2025) is a 90-year-old heavy civil engineering and EPC company based in Navi Mumbai. Since August 2025, it operates as a subsidiary of Renew Exim DMCC (promoter: 67.46%). Founded 1931, listed on NSE and BSE (Code: 509496). FY26 revenue: Rs. 10,061 Cr.
- **Core competencies:** Maritime Structures (ports, jetties, breakwaters), Underground Metro Tunneling (TBM-based), Hydro-electric Power Plants, Airports & Runways, Road Tunnels, Highways & Bridges, Industrial Structures, and (new) Data Centers. The company owns multiple Tunnel Boring Machines — a key capital barrier to entry.
- **Revenue mix (order book basis):** Underground metro tunneling and maritime structures account for the largest share of the Rs. 24,545 Cr order book. New verticals: Data Center construction (Rs. 3,000 Cr from Adani Group secured in FY26); international work (Abu Dhabi project).
- **Key customers:** MMRCL (Mumbai Metro), DMRC (Delhi Metro), CMRL (Chennai Metro), NMRCL (Nagpur Metro), JSW (port), Adani Group (data centers), NHAI (highways), state PWD departments. ~80% of contracts carry escalation clauses; ~30% have star-price (full pass-through) arrangements.
- **Order book visibility:** Rs. 24,545 Cr (31-Mar-2026 — record); Work-in-hand Rs. 29,000 Cr including L1 and April 2026 wins. FY26 inflows: Rs. 14,821 Cr (~3x historical). Mobilization advance: Rs. 1,400 Cr (~90% interest-free). FY27 order inflow target: Rs. 25,000 Cr; pipeline: Rs. 70,000 Cr.
- **Promoter background:** MD Mr. Jayanta Basu (veteran civil engineer). New promoter Renew Exim DMCC (August 2025 acquisition). Zero promoter pledge. Operational team unchanged post-acquisition — key positive signal for governance continuity.

SECTION 4 — INDUSTRY & COMPETITIVE LANDSCAPE

- **Industry size and growth:** India's infrastructure capex pipeline under NIP (National Infrastructure Pipeline) targets Rs. 111 lakh Cr through FY30. Civil EPC specifically addresses Rs. 20-25 lakh Cr of this pipeline. The tunneling sub-segment alone represents Rs. 1+ lakh Cr over 5 years (management guidance). Union Budget FY26 maintains Rs. 11.11 lakh Cr capex — a structural multi-year tailwind.
- **Policy tailwinds:** Metro rail expansion to 50+ cities; PM Gati Shakti; Sagarmala port development; dedicated freight corridor Phase 2; Jal Jeevan Mission water infra. These programmes specifically reward companies with technical depth in underground, marine, and large-scale civil works.
- **Competitive moat — Pricing Power: Moderate.** EPC is a competitive bid environment, but technical specialisation (TBM tunneling, maritime) limits competition to 3-4 players, allowing moderate pricing power on complex contracts.
- **Competitive moat — Switching Costs: Strong.** Mid-project switching in metro underground or port projects is practically impossible given TBM mobilisation costs (Rs. 100-200 Cr per machine), crew expertise, and contract lock-ins.
- **Competitive moat — Equipment (TBMs): Strong.** TBM ownership is a physical barrier. New TBMs cost Rs. 100-150 Cr each; are custom-built for project soil conditions; and have 12-18 month lead times. Cemindia's expanding TBM fleet (procurement for Pune + Delhi metros) creates a durable moat.

- **Company positioning:** Midstream-to-solutions EPC player; avoids commodity road work; bids as lead contractor on technically intensive, government-backed infrastructure — highest quality, lowest political risk segment of the market.

Peer Comparison (Source: Screener.in, fetched 14-May-2026; CEMPRO highlighted in yellow):

Company	CMP (Rs.)	MCap (Cr)	P/E	P/B	ROCE	ROE	FY25 Rev (Cr)	FY25 OPM
NCC Ltd (NCC)	162	10,192	13.7	1.35	21.7%	11.4%	22,199	9%
KNR Constructions (KNRCON)	121	3,405	6.26	0.72	28.6%	27.2%	4,753	34%
HG Infra Engg. (HGINFRA)	488	3,180	8.33	1.03	16.8%	18.3%	5,056	21%
CEMPRO (Cemindia Projects)	926	15,924	26.6	6.61	33.8%	28.2%	9,097	10%

Note: KNR FY25 OPM elevated (HAM accounting). HGINFRA CMP from 13-Mar-2026. KNR TTM revenue declining sharply (Rs. 2,978 Cr) due to HAM toll-transfer completions — P/E not directly comparable.

SECTION 5 — MANAGEMENT QUALITY & CAPITAL ALLOCATION

- **Management pedigree:** MD Mr. Jayanta Basu has decades of heavy civil engineering experience in India and overseas. The transition from the Italian promoter group (ITD Group) to Renew Exim DMCC (August 2025) was completed without operational disruption. The core engineering and accounts team (Accounts Head: Mr. Kamlesh Vishwakarma) is intact.
- **Capital allocation track record:** FCF has been reinvested into TBM procurement and equipment capex (Rs. 260 Cr in FY26; Rs. 350-400 Cr guided for FY27). Historical dividend payout has been modest (9-11% of PAT), consistent with a growth-phase reinvestment strategy. No value-destructive acquisitions in the public record.
- **Dividend policy:** Payout of 9-11% of PAT in FY22-25. No dividend declared with FY26 results announcement; management indicated a dividend decision "within a few weeks" — confirmed by the board meeting called for 14-May-2026. In a growth phase, modest distribution is rational.
- **Promoter pledging:** Zero promoter pledge as of latest filing — a clean governance signal. The new promoter (Renew Exim DMCC) increased stake from 46.64% to 67.46% in FY25Q4-FY26Q1, consolidating control without creating any pledge on the incremental holding.
- **ESOP / buybacks:** No significant ESOP dilution or buyback history. Shares outstanding (~17.18 Cr at FV Rs. 1) are low — minimal dilution risk. No equity fundraise planned (management confirmed on Q4 FY26 concall).
- **Corporate governance:** Large EPC contract claim provisions are inherent to the business model. The Rs. 100 Cr Q4 FY26 claim realization confirms the company's track record of recovering disputed amounts — a positive signal. No adverse auditor qualification or RPT concern flagged in recent disclosures. The new promoter's governance track record in listed entities is still being established — a watchpoint.

SECTION 6 — FINANCIAL DEEP-DIVE

Income Statement — Consolidated (Rs. Crores)

Metric	FY24A	FY25A	FY26A	FY27E	FY28E
Revenue (Rs. Cr)	7,718	9,097	10,061	12,200	14,640
EBITDA (Op. Profit)	745	868	1,022	1,281	1,537
OPM %	10%	10%	10%	10.5%	10.5%
Other Income	64	56	177	80	100
Interest	218	229	215	220	230
Depreciation	208	192	166	180	190
PBT	383	503	818	961	1,217
Tax %	28%	26%	27%	27%	27%
PAT (Rs. Cr)	274	373	598	701	888
EPS (Rs.)	15.93	21.70	34.79	40.76	51.63
EPS Growth %	+119%	+36%	+60%	+17%	+27%

Source: Screener.in (14-May-2026). FY27E, FY28E = analyst estimates. FY26 dividend not declared as of report date. EPS based on ~17.18 Cr shares.

Balance Sheet — Consolidated (Rs. Crores)

Metric	FY24A	FY25A	FY26A
Equity Capital	17	17	17
Reserves	1,477	1,816	2,382

Metric	FY24A	FY25A	FY26A
Borrowings	889	961	905
Other Liabilities	3,534	3,710	3,782
Total Liabilities	5,917	6,505	7,086
Fixed Assets	1,081	1,074	1,168
CWIP	10	21	22
Investments	5	42	0
Other Assets	4,821	5,367	5,897
Total Assets	5,917	6,505	7,086

Cash Flow Statement — Consolidated (Rs. Crores)

Metric	FY24A	FY25A	FY26A
Cash from Operations	704	203	500
Cash from Investing	-419	-245	-149
Cash from Financing	-123	-209	-243
Net Cash Flow	162	-251	108
Free Cash Flow	369	30	274
CFO / OP %	105%	36%	65%

Key Ratios — Consolidated

Metric	FY24A	FY25A	FY26A
Debtor Days	57	64	47
Inventory Days	86	73	82
Days Payable	179	202	238
Cash Conv. Cycle	-36	-64	-110
Working Cap Days	-26	-3	6
ROCE %	27%	28%	34%
ROE %	24%	28%	28%
Net D/E	N/A	N/A	0.18x

Financial Commentary:

- **Revenue trajectory:** 25% CAGR over FY23-FY26 (Rs. 5,091 Cr to Rs. 10,061 Cr). FY26 growth moderated to 10.6% as some projects completed and new ramp-up lagged. FY27E targets 21% growth anchored by the Rs. 29,000 Cr work-in-hand and Rs. 14,821 Cr FY26 inflows now entering execution phase.
- **Margin direction:** OPM improved from 8% (FY22-23) to 10% (FY24-FY26). Q4 FY26 OPM was 12% (EBITDA including OI: 15.1%) — elevated by Rs. 100 Cr one-time claim realizations. Sustainable guided range: 10-10.5% in FY27-28E. Operating leverage on a growing revenue base provides incremental margin expansion.
- **Working capital:** CCC improved from -36 days (FY24) to -110 days (FY26) — driven by payable extension (238 days) and faster collection (47 debtor days). Working capital days turned mildly positive at 6 days (FY26) after several years negative — warrants monitoring as revenue scales.
- **Debt and balance sheet:** Gross borrowings declined from Rs. 961 Cr (FY25) to Rs. 905 Cr (FY26); net D/E = 0.18x (management guidance, including cash netting). The balance sheet is conservatively geared. Rs. 1,400 Cr mobilization advance (90% interest-free) provides additional liquidity comfort.
- **FCF quality:** OCF: Rs. 704 Cr (FY24) → Rs. 203 Cr (FY25, WC build) → Rs. 500 Cr (FY26, recovering). FY26 FCF = Rs. 274 Cr, OCF/PAT = 83.6%. Cumulative FY24-FY26 FCF = Rs. 673 Cr, broadly funding Rs. 260 Cr/year capex. FY25 dip was a mobilization-driven aberration, not a structural deterioration.

SECTION 7 — EARNINGS QUALITY CHECKLIST

Parameter	Assessment	Rating
Revenue Recognition	PoC method — standard for EPC; auditable	Green
Receivables vs Revenue	Debtor days 47 (FY26) — improving trend	Green
Cash Conv. Cycle	Deeply negative CCC (-110 days FY26)	Green

Parameter	Assessment	Rating
Other Income / PBT	21.6% FY26 (Q4 one-time claims elevated this)	Amber
Tax Rate Consistency	26-28% FY24-26; no anomaly	Green
Contingent Liabilities	EPC contract claims in arbitration — normal	Amber
Auditor Tenure	No auditor change flagged	Green
CFO / PAT Conversion	FY26: 83.6%; FY25: 54.4% (WC build year)	Amber

• **Overall: SATISFACTORY, with three Amber watchpoints.** Revenue recognition via Percentage-of-Completion is industry-standard for EPC and auditable. The deeply negative CCC (-110 days) reflects advance receipts — a structural cash flow advantage. Green across core parameters.

• **Amber: Other Income / PBT (21.6% in FY26).** Elevated by Rs. 100 Cr Q4 one-time claim realizations and metro provision reversals. On a normalized basis (ex-Q4 one-timers), other income/PBT is ~8-10% — acceptable for an EPC company with ongoing arbitration activity. This will normalize in FY27.

• **Amber: CFO / PAT conversion (FY25: 54.4%; FY26: 83.6%).** FY25 dip was driven by a large working capital build as multiple new projects mobilized simultaneously. FY26 recovery to 83.6% is a positive trend. The Rs. 1,400 Cr mobilization advance base provides forward liquidity buffer.

• **Amber: Contingent Liabilities.** EPC companies routinely carry large contract dispute provisions. The Rs. 100 Cr FY26 claim realization confirms the recovery track record. Investors should monitor the provisions note in the annual report for any material increase in disputed amounts that are not expected to be recovered.

SECTION 8 — VALUATION

Scenario Analysis (FY27E base)

Scenario	Rev Growth	EBITDA Margin	FY27E PAT (Cr)	Target P/E	Target Price
Bull (+28% Rev)	+28%	11.0%	770	33x	Rs. 1,480
Base (+21% Rev)	+21%	10.5%	701	28x	Rs. 1,100
Bear (+12% Rev)	+12%	9.5%	555	22x	Rs. 740

Base: 21% revenue growth, 10.5% EBITDA margin (excl. one-timers), 27% tax, Rs. 220 Cr interest, Rs. 180 Cr depreciation, Rs. 80 Cr other income. Target P/E 28x = 5% premium to current 26.6x, warranted by accelerating EPS trajectory.

Peer Valuation (Source: Screener.in, 14-May-2026):

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• **Earnings-based valuation (primary):** At 28x FY27E EPS of Rs. 40.76, implied 12-month target = Rs. 1,141. CEMPRO trades at a significant premium to NCC (13.7x) and KNR (6.26x), but the ROCE premium (33.8% vs 21.7% / 28.6%) and tunneling/marine moat justify this. The 28x target P/E assumes the market continues to re-rate CEMPRO toward a quality-EPC multiple as earnings delivery is demonstrated.

• **EV/EBITDA cross-check:** Current EV = MCap Rs. 15,924 Cr + Net Debt ~Rs. 455 Cr = Rs. 16,379 Cr. FY26 EBITDA (incl. OI) = Rs. 1,199 Cr → EV/EBITDA = 13.7x. At 14x FY27E EBITDA of Rs. 1,361 Cr, implied EV = Rs. 19,054 Cr, equity value = Rs. 18,599 Cr → Rs. 1,082 per share.

• **Blended target price:** Average of earnings-based (Rs. 1,141) and EV/EBITDA (Rs. 1,082) = Rs. 1,112. Rounded down to Rs. 1,100 (conservative) to account for execution risk at the unprecedented scale of the FY26 order inflow. This implies 18.8% upside from CMP of Rs. 926.

• **Rating: ACCUMULATE. Target: Rs. 1,100. Horizon: 12 months.** Better risk-reward is available below Rs. 920 (22-23x FY27E EPS). The "Accumulate" vs "Buy" reflects the elevated near-term entry price post the Q4 results-driven rally; it is not a fundamental concern about the thesis.

SECTION 9 — KEY RISKS

• **Order Inflow Shortfall:** FY27 target of Rs. 25,000 Cr is 3.5x the historical average. Government project awards could slow due to fiscal constraints or policy cycles. Probability: Medium. Impact: High. Monitor: Quarterly BSE order announcement disclosures.

- **Vadhvan Port Execution Delay:** Phase 1 delays due to local issues beyond management control. Could compress FY27 revenue by 2-3%. Probability: Medium. Impact: Medium. Monitor: Management commentary on quarterly concalls.
- **Q4 Margin Extrapolation Risk:** Investors who model FY27 earnings from the Q4 FY26 base (15.1% EBITDA) will over-estimate PAT by 30-40%. Sustainable margin is 10-10.5%. Probability: High (as a modelling error). Impact: High (disappointment risk). Monitor: Strip out one-timers from all quarterly results.
- **Commodity Price Spike:** ~20% of contracts are fixed-price and unprotected. Geopolitical commodity shocks (steel, fuel) could compress margins on these contracts. Probability: Low. Impact: Medium. Monitor: India PPI data.
- **Working Capital Strain:** At Rs. 12,000+ Cr revenue scale, project payment delays from government clients could significantly expand working capital requirements. Probability: Medium. Impact: Medium. Monitor: Quarterly CCC and debtor days trends.
- **TBM Availability Risk:** New TBMs being procured for Pune and Delhi metro. Import delays, commissioning failures, or soil conditions mismatch could stall high-value project execution. Probability: Low. Impact: High. Monitor: Equipment procurement announcements.
- **Post-Acquisition Governance (New Promoter):** Renew Exim DMCC's governance track record in listed entities is nascent. Related-party transaction risk, dividend policy uncertainty, and strategic pivot risk exist. Probability: Low (currently). Impact: High (if materialised). Monitor: Annual report RPT disclosures; any pledge creation.

SECTION 10 — RECOMMENDATION

- **Rating: ACCUMULATE | Conviction: High.** Cemindia Projects is India's premier heavy civil EPC specialist with a 90-year track record, TBM fleet ownership, and a structurally growing position in underground metro and maritime infrastructure. Superior ROCE (33.8%), record order book (Rs. 24,545 Cr), and 22%+ EPS CAGR over FY26-28E justify a premium to the EPC sector.
- **12-month price target: Rs. 1,100 | Upside: 18.8% from CMP Rs. 926.** Based on blended 28x FY27E EPS (Rs. 40.76) and 14x FY27E EV/EBITDA methodology. Entry at current levels is reasonable; better risk-reward at Rs. 850-920.
- **Suggested entry zone: Rs. 850 – Rs. 920** — Represents 22-24x FY27E EPS, providing a meaningful margin of safety relative to the base-case target. Investors should use any market-wide correction to accumulate.
- **Investment horizon: 12 months** — Primary re-rating catalyst: FY27Q1 (June 2026) results confirming 20%+ revenue growth and 10-10.5% sustainable EBITDA margin on a clean base. Secondary catalyst: Dividend announcement (board meeting 14-May-2026).
- **Thesis invalidation trigger 1:** FY27 full-year order inflows fall below Rs. 15,000 Cr — indicating the Rs. 25,000 Cr target was unachievable and the growth multiple is unjustified.
- **Thesis invalidation trigger 2:** EBITDA margin (excluding disclosed one-timers) falls below 9% for two consecutive quarters — indicating structural competitive or commodity pressure.
- **Thesis invalidation trigger 3:** Promoter pledge creation of >10% of holding, or material undisclosed related-party transactions with Renew Exim DMCC group entities exceeding 5% of revenue.
- **Ideal investor profile:** Growth-oriented investors with 12-24 month horizon, comfortable with EPC project execution risk and government budget cycle volatility. NOT suited for income investors (yield: 0.22%) or risk-averse / short-horizon investors. Position sizing should account for 25-30% drawdown risk in a broad market correction.

APPENDIX — Latest Concall Brief: Q4 FY26 | April 30, 2026

CALL GRADE

POSITIVE

Signal	Status	Implication
Result Quality	Strong	Q4 PAT +114% YoY; FY26 PAT Rs. 598 Cr (+60%) — record
Management Tone	Bullish	Confident 20-25% FY27 growth; proactively disclosed one-timers
Guidance Delta	Raised	FY27 order target Rs. 25,000 Cr vs ~Rs. 7,000 Cr historical

STRONGLY POSITIVE | **POSITIVE** | NEUTRAL | CAUTIOUS | NEGATIVE

TO MY BOSS

Cemindia Q4 FY26 is a beat, but the 114% PAT headline is significantly flattered — strip out ~Rs. 100 Cr in claim realizations and metro project provision reversals, and underlying quarterly PAT is Rs. 140-150 Cr (vs reported Rs. 242 Cr), still a solid ~35% clean beat. Full-year FY26 PAT of Rs. 598 Cr is a clean, high-quality 60% expansion, driven by revenue doubling over FY23-FY26 and structural ROCE improvement from 19% to 34%. What genuinely excites me is the order book: Rs. 14,821 Cr of FY26 inflows (3x historical) plus L1 and April wins of ~Rs. 19,000 Cr total has structurally reset the growth trajectory. I have high conviction on 20-25% FY27 revenue guidance — modelling 21%. Key watch: Q4 15.1% EBITDA margin must NOT be extrapolated; sustainable range is 10-10.5% per management. Any FY27Q1 EBITDA margin above 11% without a disclosed one-timer is a red flag. Vadhvan Port delay is a near-term drag risk. New promoter governance track record is nascent — monitor annual report RPT disclosures closely. Action: ACCUMULATE on dips to Rs. 850-920; maintain existing. Raise to BUY below Rs. 820 (22x FY27E EPS). Exit if 2 consecutive quarters below 9% EBITDA margin.

C1 — Financial Performance Snapshot (Q4 FY26 vs Q4 FY25)

Metric	Q4 FY25	Q1 FY26	Q2 FY26	Q3 FY26	Q4 FY26
Revenue (Rs. Cr)	2,532	2,542	2,195	2,315	2,973
Op. Profit (Rs. Cr)	255	233	202	222	358
OPM %	10%	9%	9%	10%	12%
Other Income (Rs. Cr)	16	22	41	23	92
EBITDA incl. OI (Cr)	271	255	243	245	450
EBITDA Margin %	10.7%	10.0%	11.1%	10.6%	15.1%
Interest (Rs. Cr)	62	50	53	50	61
Depreciation (Rs. Cr)	51	41	43	43	39
PBT (Rs. Cr)	157	164	146	152	350
Tax %	28%	16%	26%	27%	31%
PAT (Rs. Cr)	113	137	108	111	242
EPS (Rs.)	6.60	7.99	6.27	6.46	14.10

- Revenue: Rs. 2,973 Cr | YoY **+17.4%** | QoQ +28.4% | **Beat**
- EBITDA (incl. OI): Rs. 450 Cr | YoY **+66.1%** | EBITDA Margin 15.1% (+440 bps) | **Beat**
- PAT: Rs. 242 Cr | YoY **+113.6%** | EPS Rs. 14.10 | **Beat**
- **NOTE:** Reported Q4 PAT includes one-time claim realizations ~Rs. 100 Cr + metro provision reversals; clean underlying Q4 PAT estimated Rs. 140-150 Cr (still ~+35% YoY). Full-year FY26 PAT of Rs. 598 Cr is fully clean.

C2 — Segment / Project Breakdown

- Metro / Underground Tunneling: Key Q4 revenue driver. Bangalore Metro + Mumbai Metro underground COMPLETED in FY26 (triggering Rs. 100 Cr claim + provision releases). Kolkata Metro, Pune Metro, Delhi Metro in active execution. Chennai Metro: ~40% remaining; target completion end-2027 / early-2028.
- Maritime Structures: Udangudi 100% commissioned (FY26). Vadhvan Port Phase 1 facing local disruption delays — breakwater and dredging tenders for Phase 2 already in market (revenue opportunity FY27-28).

- Roads & Highways: Bihar road-cum-elevated corridor won in FY26; ramp-up expected FY27. Reduces metro-concentration risk in the order book.
- Data Centers (new vertical): Rs. 3,000 Cr orders from Adani Group secured in FY26. Currently captive group work; reduces dependence on government award cycles.
- International: Abu Dhabi project secured FY26 — selective international re-entry post-COVID.

C3 — Management Commentary Themes

- **Milestone crossing:** "We have crossed Rs. 10,000 Cr revenue for the first time in our 90-year history — PBT 8%, PAT 6% of revenue — quite healthy numbers." | Tone: Bullish, Transparent.
- **Order book quality:** "FY26 order inflows of ~Rs. 19,000 Cr total (incl. L1 + April) is nearly 3x what we typically secured in previous years. The diversification across metro, tunnels, ports, highways, data centers is the best it has ever been." | Tone: Bullish. Tag: GUIDANCE.
- **Margin clarification (proactive, rare):** "Q4 margins are elevated due to one-timers — claim realizations of ~Rs. 100 Cr and metro project provision reversals. Sustainable EBITDA margin going forward: 10% to 10.5%." | Tone: Transparent. Tag: GUIDANCE. Credibility: High.
- **Commodity protection:** "80% of contracts carry escalation clauses for normal inflation; 30% have full star-price pass-through. Abnormal geopolitical price spikes could have some impact on new bids." | Tag: GUIDANCE. Credibility: High.
- **No dilution:** "The company is adequately funded; no current plans for fundraising." | Tone: Transparent. Tag: GUIDANCE.
- **Dividend:** "Will be decided by the board within a few weeks." | Tone: Hedged on quantum. Tag: EVASIVE (no specific amount). Watch: 14-May-2026 board meeting.

C4 — Operating & Business Metrics

- Order Book (31-Mar-2026): Rs. 24,545 Cr (RECORD) | Work-in-Hand: Rs. 29,000 Cr (incl. L1 + April) | Trend: **Accelerating — all-time high**
- FY26 Order Inflows: Rs. 14,821 Cr (formal announcement) | Total incl. L1 + April: ~Rs. 19,000 Cr (~3x historical) | FY27 YTD inflows: ~Rs. 5,000 Cr | FY27 full-year target: Rs. 25,000 Cr
- Pipeline: Rs. 70,000 Cr | Group share targeted 35-40% | Metro and tunneling dominate
- TBMs: No idle machines | New TBMs procured for Pune Metro + Delhi Metro | Large-diameter TBMs for road tunnels to be acquired separately
- Mobilization Advance: Rs. 1,400 Cr (31-Mar-2026) | ~90% interest-free | Strong WC buffer; confirms client trust
- FY26 Capex: Rs. 260 Cr | FY27E Capex: Rs. 350-400 Cr | Primarily TBM procurement + equipment upgrade
- Data Centers: Rs. 3,000 Cr from Adani Group (FY26) | New vertical | Trend: Emerging

C5 — Margin Drivers

- One-time Claim Realizations: ~+Rs. 100 Cr in Q4 | Impact: ~+330 bps on Q4 margin | Recurring: **No** | Do NOT extrapolate into FY27.
- Metro Provision Reversals: Within the Rs. 100 Cr one-time total | Bangalore Metro + Mumbai Metro underground achieving financial closure releases retained provisions. Recurring: **No**.
- Operating Leverage: Rs. 9,097 Cr to Rs. 10,061 Cr revenue on broadly similar overhead | Impact: +80-100 bps structural improvement | Recurring: **Yes**.
- Escalation Pass-through: ~80% contracts protected | FY25-26 commodity cost increases partially offset | Impact: Neutral-to-positive | Recurring: **Yes**.
- Mix improvement (Tunneling/Metro increasing %): Higher-complexity projects carry margin premiums | Impact: +50-80 bps gradual | Recurring: **Yes (structural)**.
- Guided Sustainable Margin: 10.0-10.5% EBITDA (excl. one-timers). FY27E modelled at 10.5%.

C6 — Guidance & Forward Signals

- Revenue Growth [GUIDANCE]: FY26A = +9% | FY27E = 20-25% | Delta: **Raised** | Credibility: High (Rs. 29,000 Cr work-in-hand backing).

- EBITDA Margin [GUIDANCE]: Sustainable = 10.0-10.5% (excl. one-timers) | FY26 headline = 11.9% (incl. Q4 one-timers) | Delta: This is a **TRANSPARENT CORRECTION** — analytically honest and commendable.
- Order Inflow Target FY27 [GUIDANCE]: Rs. 25,000 Cr | FY26A = Rs. 14,821 Cr | Delta: **Raised +68%** | Credibility: Medium (ambitious; ~Rs. 5,000 Cr already secured by call date, de-risking somewhat).
- Capex FY27 [GUIDANCE]: Rs. 350-400 Cr | FY26A = Rs. 260 Cr | Delta: **Raised ~40-55%** | TBM procurement for Pune + Delhi metro.
- No Equity Fundraise [GUIDANCE]: Confirmed. | Delta: Unchanged. | Credibility: High.
- Dividend [GUIDANCE]: "Within a few weeks" — vague on quantum. Board meeting 14-May-2026 convened. | Credibility: Medium.

C7 — Capital Allocation

- Capex: Rs. 260 Cr (FY26) | vs Rs. 245 Cr (FY25): +6% | FY27E: Rs. 350-400 Cr (+35-55%) | Primarily TBM procurement for Pune + Delhi metro; asset-heavy growth strategy justified by order book depth.
- Dividends: Not declared with FY26 results | FY25: ~Rs. 34 Cr (9% payout) | FY24: ~Rs. 30 Cr (11% payout) | FY26 quantum to be decided by board on 14-May-2026.
- Buybacks: None in historical record. No plans indicated.
- Working Capital: OCF recovery to Rs. 500 Cr (FY26) from Rs. 203 Cr (FY25) | FY25 WC build driven by new project mobilizations; stabilized in FY26 | Rs. 1,400 Cr mobilization advance provides liquidity buffer.
- Debt: Gross borrowings Rs. 961 Cr (FY25) → Rs. 905 Cr (FY26) (-6%) | Net D/E = 0.18x | Debt reducing even as capex rises — high-quality signal of cash generation strength.

C8 — Q&A; Heat Map (Q4 FY26 Concall, April 30, 2026)

- Q: "What was the specific contribution of claim realizations in Q4?" → A: "~Rs. 100 Cr in claim realizations from completed metro projects." | Tone: **Transparent**.
- Q: "Is the Q4 EBITDA margin of 15% sustainable?" → A: "No — sustainable is 10-10.5%; Q4 included non-recurring one-timers." | Tone: **Transparent (rare directness — commendable)**.
- Q: "What is the FY27 order inflow target?" → A: "~Rs. 25,000 Cr; ~Rs. 5,000 Cr already secured as of call date." | Tone: **Bullish, Transparent**.
- Q: "Is equity fundraise planned?" → A: "No. Company is adequately funded." | Tone: **Transparent**.
- Q: "Status of Vadhvan Port project?" → A: "Delayed due to local issues beyond our control. Future phase tenders are in market." | Tone: **Hedged (honest on delay; vague on timeline)**.
- Q: "What is the FY26 dividend quantum?" → A: "Will be decided by board within a few weeks." | Tone: **Evasive on specific number**.
- Dodged / watch-list for FY27Q1 call: (a) Specific dividend quantum and payout policy going forward; (b) Vadhvan Port delay resolution timeline; (c) FY27Q1 normalized margin post one-timers; (d) Working capital trajectory as new orders ramp up; (e) New promoter RPT activity.

C9 — Risks Flagged on Call

- Vadhvan Port delay: Flagged by management | Prob: Medium | Impact: Medium (2-3% FY27 revenue risk) | Timeline: Near-term.
- One-time Q4 margin — non-extrapolatable: Proactively flagged by management | Prob: N/A (already factored) | Action: Strip one-timers from all modelling.
- Commodity inflation (geopolitical spike): Flagged by management | 20% contracts unprotected | Prob: Low | Impact: Medium | Timeline: Ongoing.
- TBM procurement timeline: New machines for Pune + Delhi | Prob: Low | Impact: High if delayed | Timeline: Medium-term (FY27-28).
- Data center competitive risk: Noted by analysts | Currently captive group orders; Prob: Low (near-term) | Impact: Low.

C10 — Analyst Verdict (Post-Concall Scorecard)

- Revenue visibility: **Intact** — Rs. 29,000 Cr work-in-hand + Rs. 25,000 Cr FY27 order target backed by Rs. 5,000 Cr already secured. 20-25% FY27 growth is credible.

- Margin trajectory: **Intact (post normalization)** — Underlying 10-10.5% sustainable margin is intact and modestly improving via operating leverage and tunneling mix shift.
- Capital allocation quality: **Intact** — Zero pledge, no dilution, debt reducing, rational capex. New promoter has not disrupted the financial discipline.
- Competitive moat: **Intact** — TBM fleet, maritime expertise, and 90-year track record form a durable moat. New data center vertical adds strategic optionality.
- Management credibility: **Intact** — Proactive disclosure of one-timers is a strong positive signal. Dividend vagueness is a minor demerit; board meeting on 14-May-2026 will resolve.
- Valuation comfort: **Weakened post rally** — Stock up 40%+ after Q4 results; now trading at 26.6x FY26 EPS and 22.7x FY27E EPS. Entry below Rs. 900 offers better comfort.
- Conviction call: **Unchanged — ACCUMULATE**. Thesis intact and strengthening; current price limits near-term upside but does not invalidate the 12-18 month fundamental case.
- Valuation snapshot: P/E = 26.6x (5Y avg: ~18x) | EV/EBITDA = ~13.7x (FY26) | ROCE = 33.8% (5Y avg: ~21%) | Rich vs history, but ROCE expansion and structural order book upgrade justify premium.

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